



Office of Public Affairs
U.S. Department of Justice



Executive Vice President of Insurance Brokerage Pleads Guilty in \$133M Affordable Care Act Fraud Scheme

Friday, April 18, 2025

For Immediate Release

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A Florida executive pleaded guilty today for his role in a scheme to submit fraudulent applications to enroll consumers in Affordable Care Act insurance plans (ACA plans) that were fully subsidized by the government. The purpose of the scheme was to obtain millions of dollars in commission payments from the insurance company that operated the ACA plans. The federal government paid at least \$133,900,000 in subsidies for fraudulently enrolled individuals.

According to court documents, Dafud Iza, 54, an executive vice president of an insurance brokerage firm, participated in a scheme to fraudulently enroll ineligible individuals into ACA plans that offered tax credits to eligible enrollees. These tax credits, or “subsidies,” could be paid by the federal government directly to insurance plans as a payment toward the plan’s monthly premium. The scheme involved submitting false and fraudulent applications for individuals whose income did not meet the minimum requirements to be eligible for the subsidies. Iza and his accomplices deceptively marketed subsidized ACA plans to ineligible consumers and falsely inflated consumers’ incomes to obtain the federal subsidies.

In furtherance of the scheme, Iza and his accomplices targeted vulnerable, low-income individuals experiencing homelessness, unemployment, and mental health and substance abuse disorders, and knew that “street marketers” working on their behalf offered bribes to induce those individuals to enroll in subsidized ACA plans. Marketers working for Iza’s accomplices coached consumers on how to respond to application questions to maximize the subsidy amount paid by the federal government and provided addresses and social security numbers that did not match the consumers purportedly applying.

Iza pleaded guilty to one count of major fraud against the United States and faces a maximum penalty of 10 years in prison. A federal district court judge will determine any sentence after considering the U.S. Sentencing Guidelines and other statutory factors.

Matthew R. Galeotti, Head of the Justice Department’s Criminal Division; Acting Special Agent in Charge Brett Skiles of the FBI Miami Field Office; Acting Special Agent in Charge Jesus Barranco of the Department of Health and Human Services Office of Inspector General (HHS-OIG) Miami Regional Office; and Special Agent in Charge Emmanuel Gomez of the IRS Criminal Investigation (IRS-CI) Miami Field Office made the announcement.

The FBI, HHS-OIG, and IRS-CI are investigating the case.

Assistant Chief Jamie de Boer and Trial Attorney D. Keith Clouser of the Criminal Division’s Fraud Section are prosecuting the case.

The Fraud Section leads the Criminal Division’s efforts to combat health care fraud through the Health Care Fraud Strike Force Program. Since March 2007, this program, currently comprised of nine strike forces operating in 27 federal districts, has charged more than 5,800 defendants who collectively have billed federal health care programs and private insurers more than \$30 billion. In addition, the Centers for Medicare & Medicaid Services, working in conjunction with HHS-OIG, are taking steps to hold providers accountable for their involvement in health care fraud schemes. More information can be found at www.justice.gov/criminal-fraud/health-care-fraud-unit.

An indictment is merely an allegation. All defendants are presumed innocent until proven guilty beyond a reasonable doubt in a court of law.

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Topic

HEALTHCARE FRAUD

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